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TECH

Tesla Posts Loss, Boosting Pressure to Speed Output of Model 3

Gains in sales of Tesla's Model X sport-utility vehicle helped boost revenue 30%

By Tim Higgins
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A Tesla Model 3 rolls out of the assembly line in Fremont, Calif., in July. The auto maker reported results Wednesday.
REUTERS

Elon Musk's usual bravado as the billionaire leader of Tesla Inc. seemed to waver on Wednesday as he warned of monthslong delays in the production of the Model 3 sedan and raised the possibility the electric-car company could pump the brakes on planned growth.

The Silicon Valley auto maker had aimed to make 5,000 Model 3 sedans a week by the end of this year but said it won't reach the milestone until late in the first quarter of next year.

Tesla also reported its worst financial quarter ever, posting a loss of $619 million attributed to common shareholders in the three months that ended on Sept. 30, compared with a rare profit of $22 million a year ago. On an adjusted basis, the company's per-share loss of $2.92 was wider than the $2.28 consensus estimate of analysts surveyed by Thomson Reuters.

The company attributed the primary delay of ramping up the Model 3, which began production in July, to battery-pack assembly at its factory near Reno, Nev.

"The combined complexity of module design and its automated manufacturing process has taken this line longer to ramp than expected," Mr. Musk said in a shareholder letter detailing the company's third quarter.

Mr. Musk, who on a conference call with analysts said he was struggling with a cold, seemed at a loss of words when asked about when Tesla might reach the rate of building 10,000 Model 3s a week. After a 12-second delay, he suggested it was too early to say because Tesla is still learning to build the Model 3 and later added the company faces a strategic choice between growth and capital spending.

"We want to make sure we know what to scale before we spend money on it," Mr. Musk said.

His comments surprised some analysts. "Quite frankly, I think it's really the first time that I've heard you talk about that potential trade-off," Toni Sacconaghi, an analyst for Bernstein Research, told Mr. Musk. Mr. Sacconaghi asked whether Tesla is concerned it might run out of cash or is trying to do too much too quickly.

Tesla Chief Financial Officer Deepak Ahuja responded that Tesla had a "certain sense of fiduciary responsibility that we have in addition to just growing like crazy." Added Mr. Musk: "We're talking about a rate of growth faster than the Model T, which is the fastest in history. These are nutty growth rates."

Expectations for the Model 3, which starts at $35,000, have helped push Tesla's shares up more than 50% this year, giving it a market value that rivals General Motors Co. despite Tesla having never turned an annual profit nor built more than 84,000 vehicles in a year.

Mr. Musk's ability to defy the odds by making Tesla into a global luxury brand is being tested anew with the Model 3, a midprice sedan that he hopes will move the company more into the mainstream.

A year ago, Mr. Musk was suggesting that Tesla would begin volume production of the four-door car in July of this year and make, perhaps, as many as 200,000 units in the second half of 2017. In regulatory filings in March, Tesla was promising 500,000 vehicles in 2018, including the Model 3, Model X and Model S sedan.

But as the deadline to start assembly grew closer this year, Mr. Musk's publicly stated goals began to diminish to the point of him warning in July that Tesla faced six months of manufacturing "hell."

He predicted making more than 1,500 Model 3s in the third quarter and reaching 5,000 a week by year's end and 10,000 a week sometime in 2018.

Last month, Tesla surprised investors with disappointing news: It badly missed the third-quarter production target, making just 260 Model 3s. The auto maker attributed the miss to an unspecified production bottleneck while saying there are "no fundamental issues" with the car's production or supply chain.

The Wall Street Journal has reported that Tesla's body shop wasn't ready when production began and that workers were hand-making portions of the Model 3 as recently as early September.

On Wednesday, Tesla said some parts of the car factory have been able to demonstrate an ability to make more than 1,000 units per week "during burst builds of short duration" while others have demonstrated burst builds of 500 units per week.

Social-media posts by Mr. Musk in recent days also suggested issues at the battery factory near Reno. He posted a picture of himself at a campfire on the factory's roof at night along with a video of himself apparently drinking whiskey, roasting a marshmallow and singing a Johnny Cash song.

He later followed with another social-media posting to say that he was camping on the roof "because it was less time than driving to a hotel room in Reno" and noted "production hell."

A little more than a year ago, the average analysts surveyed by FactSet were predicting Tesla would turn a profit during the third quarter, but those forecasts grew cloudier as time went on.

Now, Mr. Musk finds himself in a familiar situation: running low on cash amid a make-or-break effort to push out a new car.

If he is successful, money will flow in and all the hiccups will be mostly forgotten. Two years ago, Tesla was struggling to ramp up production of the Model X, another troubled period in the company's short history. The company has since fixed those problems and sales have surged.

A 36% gain in sales of Tesla's Model X sport-utility vehicle during the latest quarter helped boost revenue 30% to $2.98 billion from $2.3 billion a year earlier. The results exceeded the $2.95 billion expected by analysts.

Mr. Musk took steps in the third quarter to boost his cash pile, issuing $1.8 billion in bonds. But starting production on a new vehicle is expensive, and he ended the period with $3.5 billion in cash—$500 million more than at the end of the second quarter.

"The cash burn situation looks horrible right now but should improve in 2018 once Model 3 gets to bigger volumes," said David Whiston, an analyst for Morningstar Research Services.

Tesla said on Wednesday it plans $1 billion in capital expenditures during the fourth quarter after spending $1.1 billion in the third quarter, for a total slightly more than the $2 billion planned during the second half as detailed at the end of the second quarter.

Tesla has suggested it needs a minimum of $1 billion each quarter for working capital. The company has about $1.4 billion in debt due by the end of next year and has talked about plans for new factories in Europe and China. On Wednesday, Mr. Musk suggested capital spending next year could be similar to this year, which is on track to total $3.6 billion.

“Between cash on hand, future cash flows and available lines of credit, we believe that we are well capitalized to accommodate the revised ramp of Model 3 production to 5,000 per week,” Mr. Musk wrote. “Upon achieving this production level, we expect to generate significant cash flows from operating activities.”

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